chemicals, electronic aerospace and defence material, drugs and pharmaceuticals etc..It comprised of industries which were related to security concerns, health, environment etc. In 1993, three more industries were removed from the list of 18 industries under the compulsory licensing. They were motor cars, white goods (which include refrigerators, washing machines, air conditioners etc.) and raw hides and skins and patent leather.

## Activity



Make a presentation on large scale industries in India.

Rehabilitation schemes were introduced with the help of the Board for Industrial and Financial Reconstruction (BIFR) so that the public enterprises whose performance was poor could be improved. During such a rehabilitation process, the interest of the workers of such industries was to be protected.

### Competition Act, 2002

The Monopolies and Restrictive Trade Practices Act (MRTP),1969 was repealed by the Ministry of Corporate Affairs and this was replaced by the Competition Act,2002 which was later amended in 2007 and 2009. The MRTP Act had the objective of preventing the concentration of money and checking unfair practices in trade so that monopolistic practices could be stopped. But, the new Act encouraged freedom of trade so that there was healthy competition and the consumer could get the best products. Emphasis was given to regulating the activities of the companies. The companies did not have to get the prior approval of the government in making changes in their establishments.

In spite of many efforts towards industrialization, there are also few inadequacies. India still has the problem of unemployment and underemployment. Uniform development in all regions is a challenge to the policy makers and the larger society. Even after long years of independence and industrialization, governments have to still design programmes for poverty eradication. The industrialization process leads to the development of large sectors but the small and medium sectors still have a long way to go. More and more industries are concentrated in cities. In terms of development there is a vast difference between the urban areas and the rural areas. Issues relating to urbanization and migration are bigger challenges to the state.

## Glossary



- **Five Year Plan :** The Indian economy focussed on centralized and integrated planning since independence. These were carried out through the five year plans of the Planning Commission.
- **Welfare State :** A welfare state not only protects the people but also takes care of the social and economic wellbeing of its citizens.
- **Public Sector :** The public sector is that part of the economy which is controlled by the state. It includes public services and public enterprises.
- **Private Sector :** The private sector is that part of the national economy that is not under direct state control. It is run by private individuals or groups for profit.
- **Administrative Reforms Commission:** It is the committee appointed by



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